

INDIAN ECONOMY

LEVEL
II



LECTURES

INDIA'S PLANNING PROCESS ...
CRITICS VIEWPOINT & IT'S
COUNTER VIEW!

MODULE - 11



INDIA'S FOUR DECADES OF PLANNING PROCESS RAISES SEVERAL QUESTIONS!

- “Poverty alleviation and social & economic redistribution were the two traits of Indian Planning process”. How far the Government is successful in achieving these goals during several decades of planning process.
- “Development has different meanings for different sections of people”. Discuss.
- “Economic policy is part of the political situation in society”. What do you infer from this statement?
- “The policy paradigm during the first three decades revolve around socialist principles of State ownership, regulation and control over key sectors of the economy, in order to improve productivity and to curb economic concentration.” Elucidate.



THREE CHALLENGES BEFORE THE NATION AT THE TIME OF INDEPENDENCE!

1 NATION BUILDING

- There were several Princely States and some of them like Hyderabad, Junagadh, Kashmir, and Manipur proved more difficult.
- Moreover, India has distinct cultures, languages, dialects.
- There was 85% illiteracy at the time of independence.
- By balancing various interests, how to build the nation?



2 ESTABLISHING DEMOCRATIC CREDENTIALS

Deepening of democracy with Universal Adult Franchise was another challenge.



3 DEVELOPMENT

- Development means different things for different people.
- To balance the interests of various cross-sections of people is really difficult.



BROADLY, INDIAN PLANNING PROCESS CAN BE DIVIDED INTO THREE PHASES

1 1950s & 1960s

The overall focus was on increasing the irrigation potential, and establishment of State-led heavy industries, along with Green Revolution to solve the food crisis.



2 EARLY 1970s TO 1980s

- Nationalisation and planning process became politicised.
- Authoritarian tendencies crept into the planning process.
- Alleviation of poverty, 20-Point Programme towards this end, employment generation attained center stage.



3 LATE 1980s TILL NOW

Liberalisation, Privatisation and Globalisation (LPG) was the Mantra with varying degrees of implementation during the past three decades.

Undoubtably, the rich-poor gap increased substantially, after the implementation of LPG.

A CRITICAL APPRAISAL ABOUT PLANNING PROCESS

1

VIEW OF THE CRITICS

- Balancing industry and agriculture proved really difficult.
- The policies have shown unmistakable urban bias.
- Why the focus was not on agriculture related industries?
- Why the focus was not on rural industrialisation?



COUNTER VIEW

- When the focus was given on capital industries, the idea was in due course of time, the Country would be in a position to achieve self-reliance in industrial production.
- Moreover, shift from agriculture to industry was felt inevitable and hence, the priority given to industrialisation since second five-year plan was in the right direction.



A CRITICAL APPRAISAL ABOUT PLANNING PROCESS

2

VIEW OF THE CRITICS

Indian planning lacks agrarian strategy and hence, redistribution of the gains could not take place during the 1960s and 1970s.



COUNTER VIEW

- The State made laws for land reforms and distribution of resources among the poor in the villages.
- It also proposed programmes of community development and large sums were spent on irrigation projects.
- The failure was not because of the policy but, its non-implementation as land owning class had lot of social and political power.
- Even if more money was spent on agriculture, it would not have solved the massive problem of rural poverty.



A CRITICAL APPRAISAL ABOUT PLANNING PROCESS

3

VIEW OF THE CRITICS

- State controlled key heavy industries. Hence, planners refused to provide the private sector with enough space and the stimulus to grow.
- This enlarged the public sector and it produced powerful vested interests that created enough hurdles for the private capital.
- All of us are well aware about licence and Permit Raj.

COUNTER VIEW

- It was thought by Pandit Jawaharlal Nehru that the public sector will reach commanding heights and generate surpluses, which can be redistributed and in-turn facilitate alleviation of poverty.
- But unfortunately, the protection given became too long and too much and ultimately the public sector turned out to be lethargic.



A CRITICAL APPRAISAL ABOUT PLANNING PROCESS

4

VIEW OF THE CRITICS

- The Planning process also revolved around modernisation, which should reflect in the traits of
 - Growth
 - Material well-being of the people
 - Scientific rationality
- But the modernisation of public sector enterprises ultimately proved to be a chimera.



COUNTER VIEW

- That was the failure of not the policy, but the implementation.
- Part of the blame is also required to be taken by the bureaucracy, who manned these organisations.



A CRITICAL APPRAISAL ABOUT PLANNING PROCESS

5

VIEW OF THE CRITICS

- Land reforms did not take place effectively in most parts of the Country.
- Political power remained in the hands of the land owning classes.



COUNTER VIEW

- There are several benefits from land reforms.
- The Colonial system of Zamindari was abolished.
- It also reduced the capacity of the landlords to dominate politics.
- However, the ceiling on the agriculture land and the tenant rights could not be implemented as the laws remained only on paper.



A CRITICAL APPRAISAL ABOUT PLANNING PROCESS

6

VIEW OF THE CRITICS

- The Green Revolution benefited the well off farmers.
- Government, gave the priority to the areas which already had irrigation.
- Rich peasant and large land holders were the major beneficiaries.
- It delivered only a moderate agricultural growth (mainly Wheat), and could not benefit the entire Country.
- Moreover, in several parts, stark contrast between poor peasantry and landlords produced conditions favourable for left-wing organisations to flourish.

COUNTER VIEW

- We cannot say Green Revolution as a failure, since it made the Country self-reliant in food grains within the shortest possible time, and the Country is now in a stage to export primary food grains Rice/Wheat.
- But the focus on other commodities and other regions could not be heralded as second Green Revolution.



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